MAGIC SPOON

Flipping the Script on Gut Health

BUS 343 D100 | TUT D106
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Agenda

1. Industry Analysis
2. Internal Analysis
3. Consumer Analysis
4. Opportunity Analysis
5. #GutFlip Strategic Launch
6. Marketing Mix
7. Action Plan
8. KPIs



Executive Summary

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Objective

Transition from a nostalgic high-protein niche into a **market leader** in the $28.3B functional breakfast category

Current State

Category Stagnation:
Shelf-stable cold cereal volume has declined 13% since 2021 as consumers shift to more functional formats.

Competitive Pressure:
Giants like General Mills are pricing out premium players with high-protein alternatives

Opportunity Space

The Fiber Crisis
95% of North Americans miss fiber benchmarks, receiving only 50% of the required intake.

The GLP-1 Wave
21% of the population will adopt medications like Ozempic by 2034, mandating high nutrient density in low-volume formats to prevent muscle loss.

Social Catalyst
The #Fibermaxxing trend on TikTok is driving Gen-Z and Millennial demand for functional gut-health solutions.

#GUTFLIP Strategy

Magic Spoon Gut Flip combines nostalgic crunch with fresh functional power to finally bridge the North American fibre gap



A refrigerated, ready-to-eat dual-chamber bowl pairing 15g high-protein Skyr yogurt with a 10g probiotic fiber cereal topper.

Action Plan

Build sensory-led "Retro" branding

Push retail & Generative AI Search

Ignite urban pop-ups & social buzz

Scale 10% discount subscriptions

KPIs

$15M
Year 1 Sales

10M
Social Media Impressions

20%
Increase in Customer Lifetime Value

The #Gainsmaxxing Era

Magic Spoon's early launch virality was real and earned



Financial & Operational Growth

6,800+ retail doors and a $120M Series B funding raised



Unique Product Positioning

Directly going against retail giants, Magic Spoon positioned the brand as a unique 0-sugar, high protein cereal brand



Marketing Boom

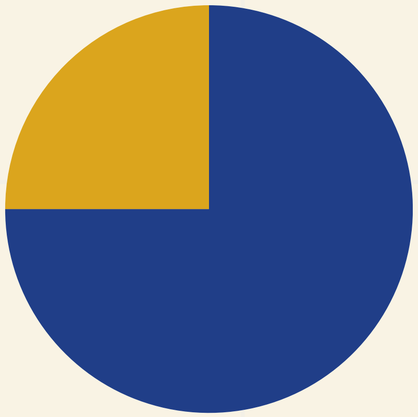
Influencer-first DTC playbook that disrupted the "bland" health category to become a viral lifestyle staple

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When Magic Spoon's niche is no longer.... niche

High protein is no longer a differentiator. It's a baseline.

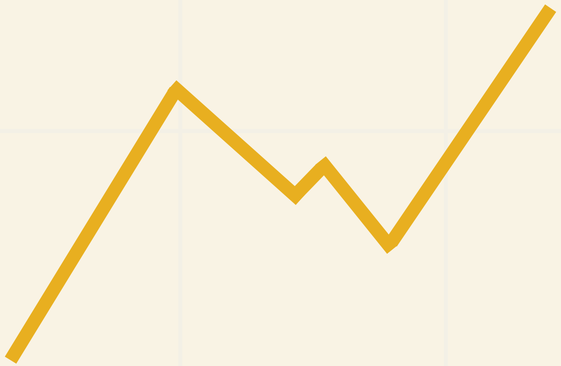
The brand's core competitive advantage has become mainstream, and the category itself is starting to crack.



75%

Of North Americans actively attempting to limit or reduce sugar intake.

(IFIC, 2025)



5.85%

Annual growth rate (CAGR) driven by the shift toward functional nutrition.

(Mordor Intelligence, 2024)

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The dry cereal aisle is under real pressure:



Shift in Consumption Trends

Cold cereal volume is down 13% since 2021 as consumers shift to protein shakes and fresh formats

Food Manufacturing 2025



Competition Threat

General Mills' Cheerios Protein has crossed $100M in revenue, squeezing niche players' margins

Food Manufacturing 2025



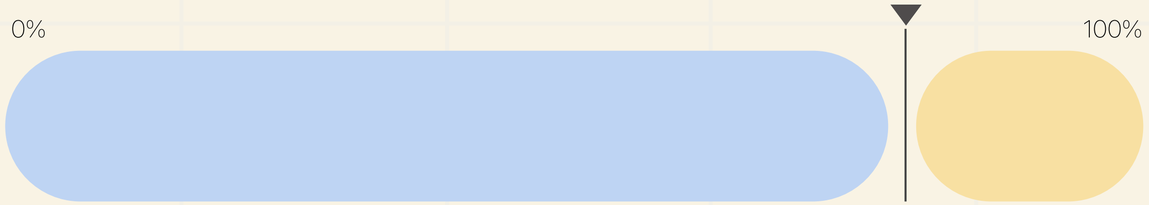
Imperfect R&D

Consumer feedback points to a persistent "protein powder" aftertaste and a $10/box price point that alienates 44% of cost-conscious wellness shoppers

Thingtesting 2026

The question is: *Where are health-forward consumers actually going?*

Opportunity: The Conscious Consumption Shift



90%

Of North Americans missing their daily fibre target

Men need 38g → They get 19g
Women need 25g → They get 12.5g

#Fibermaxxing:
2026 cultural movement repositioning gut health as a beauty and performance metric

Clinical Defense:
Recognized as the primary weapon against bloating, poor digestion, and metabolic slowdown.

Cohen, 2026; UCLA Health
Canada 2025
Statista 2026

21%

Of the population will be on GLP-1 medications like Ozempic and Wegovy

30%

Fewer calories consumed per day by GLP-1 users

No brand is meeting them there with a compelling answer.

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Introducing: Gut Flip

Magic Spoon Gut Flip is a refrigerated, dual-chamber bowl

This isn't a new flavour. It's a technological pivot that solves the number one complaint in the healthy cereal category.



Topper

Fibre-rich Magic Spoon cereal re-engineered for the ultimate #Fibremaxxing era

Base

15g protein Icelandic Skyr yogurt: high satiety, low sugar, rich in probiotics



Why Competitors Can't Follow - Competitive Advantage

High fibre has always had a perception problem: gritty, chalky, cardboard texture. Gut Flip solves it through RS4 Resistant Starch, a prebiotic fibre that is functionally invisible to the palate:

Unique Product Offering

No grit. No aftertaste. Full fibre benefit

Entering a new market

Skyr's creamy acidity eliminates the "protein powder" flavour that has long held Magic Spoon back

Fun(ctional) Delight

A proprietary fibre-to-yogurt ratio keeps the cereal crunchy longer than any Chobani Flip on the market

Customer Segmentation



Gen-Z Biohackers (Ages 18–26)

- Motivation: The Gut-Brain connection.
- Benefit Drivers: Skin clarity, sustained energy, and mental performance.
- Cultural Trigger: #Fibermaxxing and the "internal glow-up."



GLP-1 Users

- Motivation: Clinical maintenance and nutrient density.
- Benefit Drivers: High-protein/high-fiber density in low volumes to prevent muscle loss.
- Economic Profile: High disposable income; clinically motivated.



Busy Urban Professionals

- Motivation: Functional efficiency.
- Benefit Drivers: Convenience, satiety, and metabolic efficacy over indulgence.
- Occasion: Breakfast as a tactical fuel stop, not a ritual.

We're not targeting everyone who eats breakfast. We're targeting the intentional shopper.

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Geographical Positioning

Concentrated in top-tier urban hubs and university vicinities where premium wellness retail (Target, Whole Foods) is already entrenched.



Positioning Shift

Occupying the unclaimed market opportunity between medicinal nutrition (effective but flavourless) and indulgent snacks (tasty but unhealthy).



Legacy "Nostalgic Delight"

A healthy version of childhood favorites



Modern "Nutritious Standard"

Becoming a clinical utility, assisting health-aware consumption behaviour

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GUT-FRIENDLY INDULGENCE



10g PROTEIN, HIGH FIBER

Discover the authentic, satisfying taste of our high-protein, prebiotic GutFlip breakfasts. Made with real ingredients and packed with flavor, it's the genuine, gut-healthy indulgence your morning deserves. Designed for a satisfying breakfast, with nutrient-packed Skyr yogurt!

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$3.99 /serving

A 25% premium over conventional yogurt, justified on a per-nutrient basis



Blueberry Birthday Cake



Salted Maple Waffle



Midnight Cocoa Tiramisu

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Proposed New Packaging

Retro gingham pattern

Clear product indication

Hand-drawn doodles evoking an organic feel

Nutrition information







Action Plan | 4Ps (Place & Promotion)



Place

Enter 3,000 refrigerated doors at Target, Whole Foods, and Kroger, get slotted in the Probiotic/Dairy aisle where the gut health consumer is already browsing



Data Analytics

Utilize GEO (Generative Engine Optimisation) to win AI-driven searches for "best breakfast for Ozempic" before competitors understand the channel



Social Media Promotion

Collaborate with clinical nutritionists and TikTok gut-health creators driving #GutCheck unboxings

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The #CrunchLab Pop-Up

An experimental activation event



Host pop-up booths near high-density areas (train station, downtown,....)


New York, USA


San Francisco, USA


Toronto, Canada

The CrunchLab Experience

ASMR-led blind crunch tests using headphones



Giveaways & Free Products



Goal

Overcome sensory scepticism about high-fibre products where it matters most: In the body.

Implementation

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Q1

R&D

- R&D on Crunch-Lock technology
- Muted Retro packaging development

Q2

Market entry

- Slotting fee negotiations with major retailers
- SEO/GEO keyword mapping for clinical search terms

Q3

Full Launch

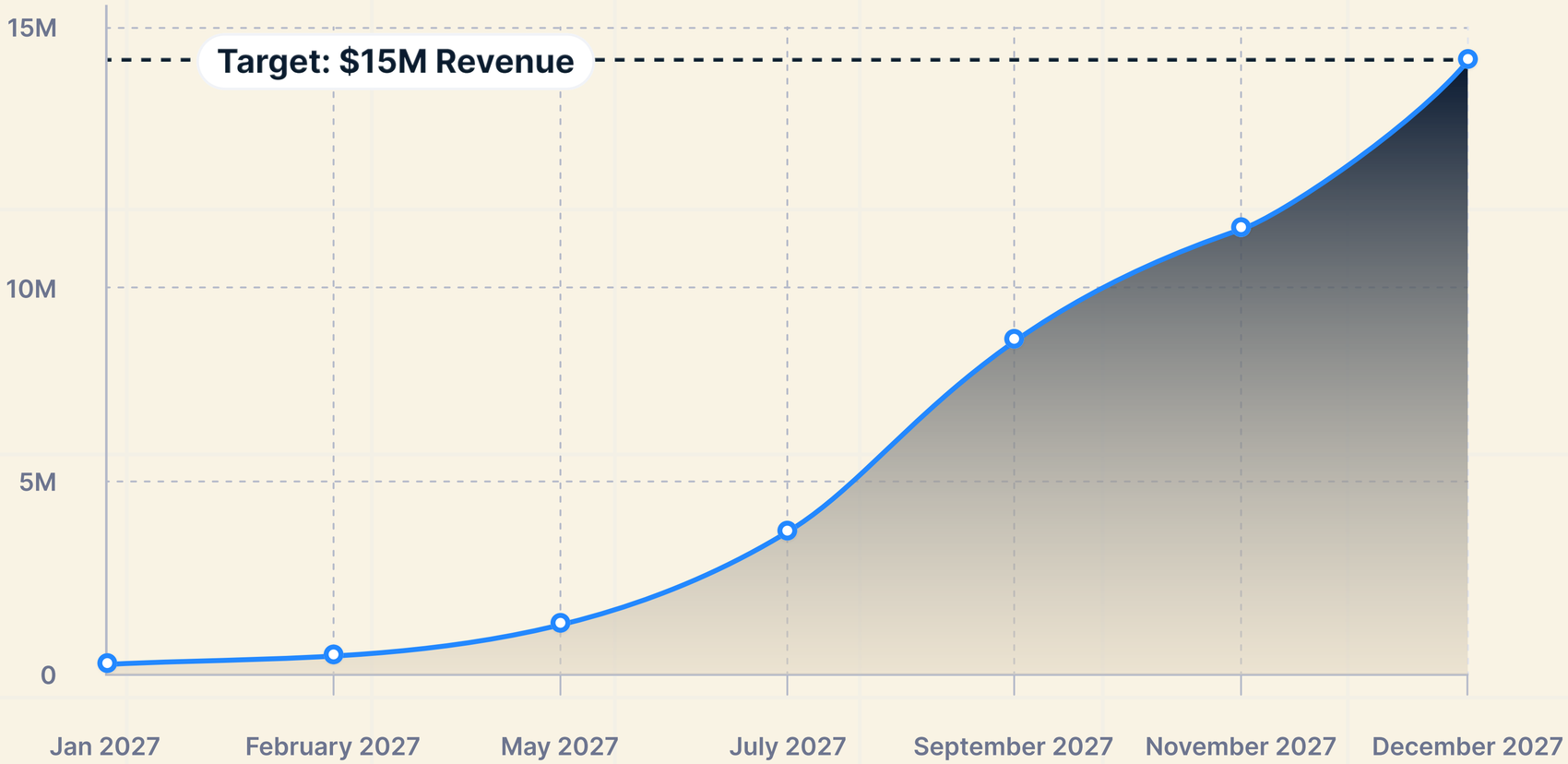
- Full GTM launch
- Social Media Collaborations
- #CrunchLab pop-up tour around cities

Q4

Retention

- Retention via a 10% discount subscription ecosystem

KPIs



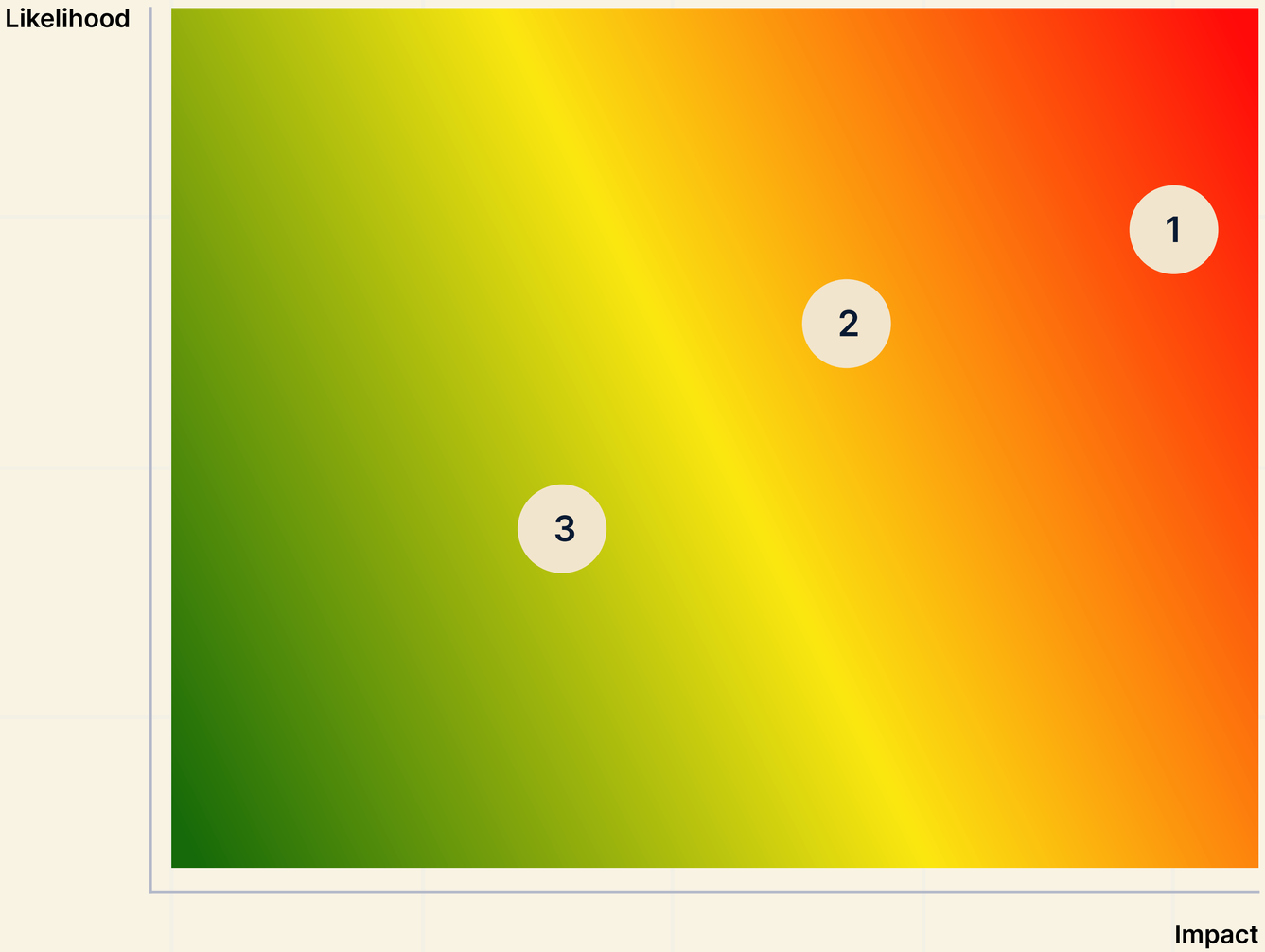
35%
Repeat Purchase Rate

20%
Increase in CLV

10M
#GutFlip Campaign Impression

15M
Year 1 Revenue

Risks & Mitigation



1

Consumer Adoption Risk

Fibre perception = “chalky / unpleasant”
Mitigation: Sampling via #CrunchLab pop-ups reduces consumer perception

2

Entry Risk

Entering refrigerated aisle increases competition
Mitigation: increased value proposition: combines high protein yogurt + high fibre cereal in a ready-to-go format

3

Premium Pricing Barrier

Limits mass accessibility
Mitigation: Loyal customers discounts + repeat purchase incentives

Thank You!

For Listening!

Appendix

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Appendix A: SWOT Analysis

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Strengths

13-14g protein/0g sugar profile; Strong nostalgia-led identity; $120M funding; Presence in 6,800 retail stores.

Opportunities

GLP-1 demographic (21% adoption); Hot breakfast category expansion; Soluble fiber gut-health innovation.

Weaknesses

Premium price point (~$10/box); Vulnerable to "bowl fatigue" due to product concentration in cold cereal.

Threats

Legacy incumbents (Cheerios Protein) reformulating; High cost-of-living impact on premium wellness spend.

Appendix B: Magic Spoon Current STP

Demographic: Millennials and Gen Z aged 20-40.

Psychographic: Nostalgia for childhood cereals, fitness and health conscious consumers.

Behavioral: Benefits sought include high protein and low sugar consumed at breakfast.

Target Market
Concentrated Targeting Strategy: Health-oriented young adults seeking convenient, high-protein breakfast options that support modern wellness and fitness lifestyles who seek an alternative from traditional cereals. They also appeal to consumers seeking a cereal that invokes childhood nostalgia.

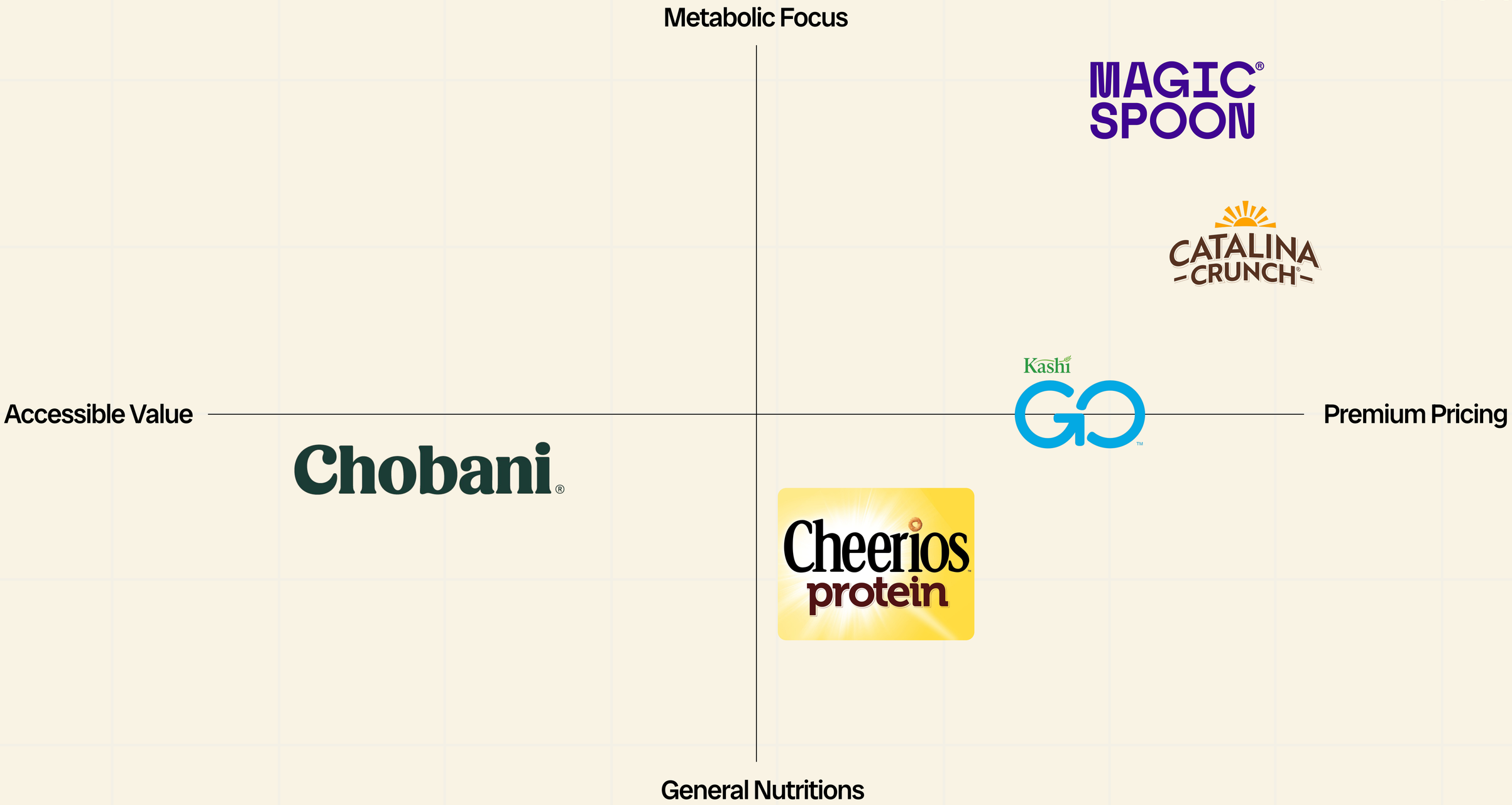
Value Proposition

1. Product Attribute Positioning
   - High protein
   - Low sugar
   - Low carbohydrates

2. Consumer Benefits:
   - Enjoying the taste & experience of childhood cereal but with less sugar + more nutrients

Premium functional cereal that recreates nostalgic childhood flavors while providing modern health benefits such as high protein and zero sugar.

Appendix C: Competition Analysis



Appendix D: Design Die-Cut



Appendix E: Financials

We are allocating $4.5M for the launch, as per this breakdown:

- 45% marketing spend ($2.02M) to drive rapid consumer trial and brand authority through high-impact influencer partnerships and social proof.
- A further 25% ($1.12M) is dedicated to retail and distribution to secure premium "eye-level" refrigerated shelf spaces.
- With 20% ($900k) allocated to R&D for perfecting "crunch-lock" technology and 10% ($450k) for operational contingencies, this aggressive upfront spend is supported by a healthy 63% gross margin ($1.45 COGS vs. $3.99 MSRP), leading to a projected 10-month break-even period as the product scales into a recurring subscription-based wellness ritual.